

CAPITAL PERFORMANCE

Increased government spending, coupled with digitalisation and the impressive performance of public sector undertakings, has aided the boom in the capital goods sector, further spurring companies operating in the space to perform well on the bourses

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WHEN THE MORE intricate pieces of a jigsaw fall into place, completing the rest of the puzzle becomes a breeze. It is an apt metaphor for the present condition of the Indian capital goods industry. Look at it from the vantage point of Covid-19 and you'll see an industry that was marred by pessimism and slow order inflows before the pandemic.

Growth of companies, especially those owned by the government, remained elusive and bogged down by unimaginative thinking. But, cut to the present and you witness a sector that is firing on all cylinders, with growth returning with a zeal. This has also rewarded investors who've shown patience.

So, what has wrought the positive change? For starters, the government's support—in terms of improved policies, increased budget allocation, and somewhat unexpectedly, big orders from government-owned entities—has worked wonders for the sector. Of course, help from the government is only part of the story.

The other aspect is the tremendous agility that capital goods firms have shown, which has not only helped them complete their

projects on time, but also beat deadlines. Moreover, these firms have also made strategic bets by acquiring peers to gain a meaningful foothold in their sectors, kept their focus on supply chains to better control costs, and consequently, improved their margins. Moreover, from an external point of view, stable commodity prices have also helped their cause. In all, their numbers tell a story of robust growth, with ample headroom for more—available on the back of bigger projects, a thrust on digitalisation, and the government's higher capex outlay. But, the industry's good run is not just restricted to private sector players; it extends to government-owned firms as well.

Even as the sector has shown significant progress in recent times, the strategy across compa-